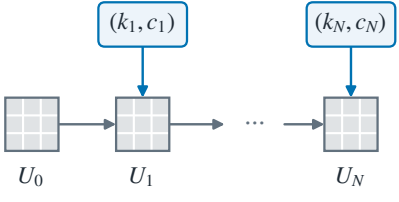
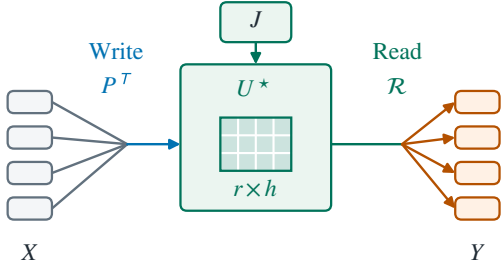
(a) Sequential updates



$$U_t = U_{t-1} + \beta_t k_t e_t^T$$

$$e_t = c_t - U_{t-1}^T k_t$$

(b) Global equilibrium



$$(I + J)U^\star = P^T C$$